

# MOCK TEST: FUNDAMENTALS OF PARTNERSHIP

Subject: Accountancy

Class: 12 CBSE

Total Marks: 50

Time Allowed: 1 Hour

## Instructions:

- Attempt all questions.
- Marks for each question are indicated in brackets.
- Write answers neatly and clearly.
- Use appropriate accounting formats where required.

## Section A: Very Short Answer Questions (1 Mark Each)

1. Define a partnership firm. [1]
2. What is the maximum number of partners allowed in a partnership firm under the Indian Partnership Act, 1932? [1]
3. Name the document that contains the terms of partnership. [1]
4. What is meant by 'profit-sharing ratio'? [1]
5. State one feature of partnership that distinguishes it from a sole proprietorship. [1]

## Section B: Short Answer Questions (3 Marks Each)

6. Explain the concept of 'interest on capital' in a partnership firm. Give an example. [3]
7. Differentiate between 'fixed capital' and 'fluctuating capital' accounts. [3]
8. What is goodwill? How is it treated in partnership accounts? [3]
9. Describe the rights of a partner in a partnership firm. [3]
10. Explain the rule of 'interest on drawings' with an example. [3]

## Section C: Long Answer Questions (5 Marks Each)

11. A and B are partners sharing profits in the ratio of 3:2. They admit C as a new partner for  $\frac{1}{4}$  share. C brings in ₹50,000 as capital and ₹20,000 for goodwill. Calculate the new profit-sharing

ratio and pass the necessary journal entries. (Assume old ratio remains the same for goodwill adjustment.) [5]

12. Explain the process of dissolution of a partnership firm. What are the main reasons for dissolution? [5]

13. P, Q, and R are partners sharing profits in the ratio of 2:2:1. P retires, and his share is taken by Q and R in the ratio of 3:2. Calculate the new profit-sharing ratio and the gaining ratio. [5]

#### **Section D: Practical Question (10 Marks)**

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14. X and Y are partners sharing profits equally. Their capitals are ₹1,00,000 and ₹80,000 respectively. Interest on capital is allowed at 10% p.a. Y is entitled to a salary of ₹5,000 per annum. The profit for the year before interest and salary is ₹40,000. Prepare the Profit and Loss Appropriation Account. [10]

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# SOLUTIONS

## Section A: Very Short Answer Questions

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1. A partnership firm is an association of two or more persons who agree to carry on a business and share its profits and losses.
2. 50 partners (under the Companies Act, 2013, for banking and other businesses; otherwise, 20 under the Partnership Act).
3. Partnership Deed.
4. The ratio in which partners agree to share profits and losses.
5. Partnership involves two or more owners sharing responsibilities and liabilities, unlike sole proprietorship which has a single owner.

## Section B: Short Answer Questions

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6. Interest on capital is the return allowed to partners on their capital contributions, calculated at an agreed rate. Example: If capital is ₹1,00,000 at 10%, interest = ₹10,000.
7. Fixed capital remains constant and is not affected by drawings/profits, while fluctuating capital changes with additions/subtractions.
8. Goodwill is the value of a firm's reputation. In partnership, it's adjusted on admission/retirement by debiting/crediting partners' capital accounts.
9. Rights include sharing profits, participating in management, inspecting books, and receiving interest on capital (if agreed).
10. Interest on drawings is charged on amounts withdrawn by partners, calculated at an agreed rate. Example: Drawings of ₹10,000 at 10% for 6 months = ₹500.

## Section C: Long Answer Questions

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11. Old ratio: A:B = 3:2. C's share =  $\frac{1}{4}$ , so remaining share =  $\frac{3}{4}$  for A and B in 3:2.  
A's new share =  $(\frac{3}{5}) \times (\frac{3}{4}) = \frac{9}{20}$   
B's new share =  $(\frac{2}{5}) \times (\frac{3}{4}) = \frac{6}{20}$

C's share =  $5/20$

New ratio: 9:6:5

#### Journal entries:

- Cash A/c Dr. 70,000  
    To C's Capital A/c 50,000  
    To Premium for Goodwill A/c 20,000
- Premium for Goodwill A/c Dr. 20,000  
    To A's Capital A/c 12,000  
    To B's Capital A/c 8,000

**12.** Dissolution involves winding up the firm, realizing assets, paying liabilities, and distributing surplus. Reasons: Mutual agreement, insolvency, court order, or death of a partner.

**13.** Old ratio: P:Q:R = 2:2:1. P retires; Q and R take his share ( $2/5$ ) in 3:2.

Q's gain =  $(3/5) \times (2/5) = 6/25$

R's gain =  $(2/5) \times (2/5) = 4/25$

Gaining ratio: 6:4 or 3:2

New ratio: Q:R =  $(2/5 + 6/25):(1/5 + 4/25) = (10/25 + 6/25):(5/25 + 4/25) = 16/25 : 9/25$

#### Section D: Practical Question

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##### Profit and Loss Appropriation Account

| Particulars                                 | Amount (₹)    | Particulars  | Amount (₹)    |
|---------------------------------------------|---------------|--------------|---------------|
| To Interest on Capital: X (10% of 1,00,000) | 10,000        | By Profit    | 40,000        |
| To Interest on Capital: Y (10% of 80,000)   | 8,000         |              |               |
| To Salary: Y                                | 5,000         |              |               |
| To Profit transferred to: X                 | 8,500         |              |               |
| To Profit transferred to: Y                 | 8,500         |              |               |
| <b>TOTAL</b>                                | <b>40,000</b> | <b>TOTAL</b> | <b>40,000</b> |

(Profit after interest and salary:  $40,000 - 10,000 - 8,000 - 5,000 = 17,000$ ; shared equally: 8,500 each.)

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**This mock test covers key concepts. Practice with real CBSE patterns for better preparation. If you need more details or another test, let me know!**

**Account Mock Test Fundamental Of Partner Chapter By Luffykidlaw**